Between Relevance and Intrusiveness

A Firm-Side Study of Personalisation and Privacy Concerns in Loyalty Programmes

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Abstract

Data-driven personalisation creates a strategic tension in loyalty programmes. Customer data enables firms to provide tailored messaging and offers. At the same time, customers may perceive data use as unclear, unexpected, or intrusive. This thesis examines how professionals responsible for loyalty programmes in Swedish service and retail firms strategically manage customer privacy concerns related to personalisation. The study draws on social justice theory and uses distributive fairness, procedural fairness, and trust as analytical lenses. It adopts a qualitative design based on semi-structured interviews with 11 professionals across 10 firms. These interviews are complemented by 21 publicly available organisational documents.

The study finds that data use is made valuable to customers through relevant communication, tailored offers, convenience, and improved customer experiences. It is made acceptable by setting boundaries around data collection and avoiding overly explicit or intrusive personalisation. Legitimacy is supported through transparency, consent, opt-out possibilities, customer control, and data protection. Finally, trust is supported by responsible data use and broader perceptions of firm reliability. The study contributes a firm-side perspective on the personalisation-privacy tension in loyalty programmes.

Keywords: Loyalty programmes; personalisation; customer privacy concerns; consumer data; trust; distributive fairness; procedural fairness

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1. Introduction

1.1 Background

Data-driven personalisation has become an important part of contemporary marketing, as firms increasingly use customer information to adapt offerings and communication to customers' preferences and behaviours (Chandra et al., 2022). Rather than relying only on broad demographic variables, firms can draw on richer customer information to make marketing communication more relevant to individual customers (Blasco-Arcas et al., 2022; Chandra et al., 2022).

This development is particularly relevant in loyalty programmes, which are commonly used by firms to build and maintain long-term customer relationships (Zhang & Liu-Thompkins, 2024; Chen & Jai, 2021). While loyalty programmes have traditionally been associated with points, discounts, and monetary rewards, recent industry evidence suggests that customers increasingly expect programmes to offer value beyond monetary rewards, including personalised benefits, content, and differentiated experiences (Crouch et al., 2024). As loyalty programmes are built around repeated customer interactions, they can generate customer data on purchases, preferences, and responses to communication. These data can provide firms with insights that support more effective personalised messages and offers (Zhang & Liu-Thompkins, 2024). Customer loyalty programmes are also widely used in Sweden, with 81 per cent of Swedish consumers aged 18-80 being members of at least one customer loyalty programme (PostNord, 2025, p. 48).

At the same time, prior research shows that customer data can enable firms to create more relevant and personalised customer experiences, while data-based personalisation may also trigger privacy concerns when data use is perceived as unclear or unexpected (Aguirre et al., 2015; Bleier et al., 2020). In retail contexts, this tension has also been linked to both positive customer outcomes and perceived risk when customers believe that sensitive information is available to the firm (Haji et al., 2025). This creates a particular strategic tension for firms: customer data can support more relevant personalisation, but it can also make customers uncomfortable when the data collection or use is perceived as too intrusive or insufficiently

transparent. This tension is often discussed in research as the personalisation-privacy paradox (Aguirre et al., 2015).

1.2 Problem statement

Existing research provides important insights into how consumers evaluate data-based personalisation, data disclosure, and privacy practices. Prior studies show that consumers evaluate data in relation to the potential value of personalisation and the risks associated with information collection and use, such as perceived vulnerability and concerns about how personal information is handled (Aguirre et al., 2015; Martin et al., 2017; Eggers et al., 2023). While these studies explain important aspects of customer responses, they provide less insight into how firms themselves manage this tension in practice.

Regulation forms part of this context but does not remove this managerial challenge. The General Data Protection Regulation (GDPR) has strengthened requirements for consent and transparency in the processing of personal data. Research on GDPR-based opt-in requests also shows that firms still differ in how they ask for access to personal data and how such requests are communicated to customers (D'Assergio et al., 2025). This suggests that privacy management is not only a matter of complying with regulation, but also concerns how firms design and communicate data practices in ways that customers perceive as acceptable and valuable (Eggers et al., 2023).

A firm-side perspective is therefore important because privacy practices, data requests, and personalisation activities are designed and implemented by firms. This is relevant in the context of loyalty programmes, as firms use customer data to create tailored messages and offers, while also depending on customers' trust and continued willingness to participate in the relationship (Zhang & Liu-Thompkins, 2024; Chen & Jai, 2021). There is therefore a need to better understand how professionals responsible for loyalty programmes strategically manage customer privacy concerns in relation to personalisation. For the purpose of this study, strategically managing customer privacy concerns refers to how firms handle the tension between using customer data for personalisation and addressing customer privacy concerns through their loyalty programme practices.

1.3 Purpose of the study & Research Question

The purpose of this thesis is to examine how professionals responsible for loyalty programmes in Swedish service and retail firms strategically manage customer privacy concerns in relation to personalisation, with a particular focus on tailored messaging and offers. This leads to the following research question:

RQ: *How do professionals responsible for loyalty programmes in Swedish service and retail firms strategically manage customer privacy concerns related to personalisation?*

2. Theoretical Framework

The following chapter presents the theoretical framework of the study. This includes social justice theory, the concept of privacy, and trust. Definitions and descriptions of loyalty programmes, personalisation and consumer data are included to provide contextual understanding for the thesis.

2.1 Social Justice Theory

A justice perspective provides a useful theoretical lens for examining consumer privacy concerns, as such concerns are shaped by consumers' perceptions of the fairness of firms' information practices (Culnan & Bies, 2003). In data privacy research, justice theory is often applied through procedural and distributive fairness. Procedural fairness concerns how fair privacy-related processes are perceived, while distributive fairness concerns the perceived fairness of the outcomes consumers receive from sharing personal information (Martin & Murphy, 2017).

Culnan and Bies (2003) describe consumer information disclosure as a "second exchange", in which consumers share personal information in return for benefits such as improved service, personalised offers, or discounts. Consumers' willingness to engage in this exchange depends on whether the benefits are perceived to outweigh the risks of disclosure (Culnan & Bies, 2003). Culnan and Bies (2003) argue that this second exchange should be grounded in a fair social contract, meaning that consumers are given sufficient information and some control regarding the use of their personal information.

Building on this fairness-based view of information disclosure, Eggers et al. (2023) conceptualise firms' privacy practices through two fairness dimensions. The first concerns outcome-related practices, including information collection, storage, and use, while the second concerns process-related practices, including transparency and control. They show that all five practices are relevant, as consumers consider them when evaluating the benefits and risks of disclosing personal information.

Building partly on Solove's (2006) taxonomy of privacy problems, Eggers et al. (2023) conceptualise three firm-level privacy practices related to distributive fairness: information

collection, information storage, and information use. These practices are treated as outcome-related elements of firms' privacy strategies, as they concern what consumers provide and what they receive in return when disclosing personal information.

Information collection refers to how firms gather consumer data. This includes whether data is provided by consumers, tracked through the firm's own channels, collected from external sources, or inferred from other information. This is important because consumers may evaluate data collection differently depending on how the data is obtained (Eggers et al., 2023). Information storage refers to how collected data is saved and kept available for future use. Consumers generally respond more positively when firms offer safer storage, such as shorter storage periods (Eggers et al., 2023). Information use refers to how firms process consumer data to create value, for example, through personalised services, content, or recommendations tailored to individual needs and preferences. Eggers et al. (2023) argue that personalisation does not necessarily make consumers more willing to accept information collection, as they may question the value of personalised marketing content (Eggers et al., 2023).

Procedural fairness concerns how the privacy-related outcomes are created. Eggers et al. 's (2023) framework includes two privacy practices that impact procedural fairness, namely transparency and control. Transparency refers to how firms inform consumers about the collection, storage, and use of personal information. This can help consumers understand whether their privacy is respected, although it may also increase awareness of privacy risks. Control refers to consumers' ability to regulate whether and how their information is collected, stored, or used. For example, control may involve giving consent to data collection, being able to remove stored data, or limiting how data is used (Eggers et al., 2023). While prior research suggests that control can help mitigate privacy concerns (Bleier et al., 2020), Eggers et al. (2023) show that control may also create a managerial trade-off, as firms may become less able to collect, store, or use data as intended when consumers exercise control. Together, transparency and control are important procedural fairness practices because they affect how consumers evaluate firms' privacy practices and whether they are willing to accept information collection (Eggers et al., 2023). These practices also help consumers make more informed decisions about whether to disclose personal information (Culnan & Bies, 2003; Eggers et al., 2023).

This also connects to trust in the firm-customer relationship. Culnan and Bies (2003) argue that fair handling of personal information is central to building trust, and that trust is sustained when firms' information practices are perceived as consistent with their communicated policies. Conversely, if such practices are violated, trust may weaken, privacy concerns may increase, and consumers may become less willing to disclose personal information (Culnan & Bies, 2003). D'Assergio et al. (2025) similarly suggest that transparency and control can support consumers' willingness to disclose personal information by making data practices clearer and giving consumers greater influence over their personal data.

Together, distributive and procedural fairness practices shape how consumers evaluate firms' handling of personal information. When such practices are perceived as unfair, privacy concerns may increase, trust may weaken, and consumers may become less willing to disclose personal information (Culnan & Bies, 2003; Martin & Murphy, 2017; Eggers et al., 2023). More broadly, privacy practices may also become strategically relevant, as firms can differentiate themselves by actively promoting privacy practices that consumers value (Eggers et al., 2023; Bleier et al., 2020).

2.2 Privacy & Privacy Calculus

Privacy is often described as difficult to define, as its meaning depends on the context in which personal information is collected, used, and shared (Bleier et al., 2020; Martin & Murphy, 2017; Wisniewski & Page, 2022). A prominent stream of research examines privacy in relation to information disclosure, focusing on whether individuals share or withhold their personal information (Wisniewski & Page, 2022). Informational privacy is commonly understood as individuals' ability to influence how organisations collect, store, and use their personal information (Culnan & Bies, 2003; Smith et al., 1996; Eggers et al., 2023).

Information disclosure can be conceptualised as a trade-off in which individuals evaluate the expected benefits of sharing personal information against the perceived risks. This trade-off is commonly referred to as the privacy calculus (Dinev & Hart, 2006). It is found that consumers may be more willing to disclose personal information when the perceived benefits outweigh the perceived risks associated with disclosure (Culnan & Bies, 2003; Dinev & Hart, 2004). However, this evaluation varies between consumers, as individuals differ in how they

assess the consequences of information collection, storage, and use. For instance, some consumers may prioritise lower prices, while others may be willing to pay more for stronger privacy options (Beke et al., 2022; Eggers et al., 2023). Eggers et al. (2023) argue that privacy practices can therefore function as a basis for segmentation and strategic differentiation.

Beke et al. (2022) further develop the privacy calculus perspective by conceptualising consumers' evaluations of information collection, storage, and use in terms of different positive and negative consequences, including performance-related, time-related, financial, psychological, social, and security-related consequences. Benefits of information disclosure may also include discounts, loyalty programme incentives, personalised experiences, greater convenience through reduced search time, and more relevant services or communication (Blasco-Arcas et al., 2022; Beke et al., 2022; Culnan & Bies, 2003).

Taken together, the privacy calculus perspective suggests that consumers' willingness to disclose personal information depends on how they evaluate the expected value of the exchange in relation to the perceived privacy risks (Culnan & Bies, 2003; Dinev & Hart, 2006; Beke et al., 2022).

2.3 Trust

Trust is a central concept in relationship marketing and in research on privacy-related consumer relationships (Moon et al., 2022; Chua et al., 2025; Chen & Jai, 2021; Morgan & Hunt, 1994). Morgan and Hunt (1994) define trust as confidence in an exchange partner's reliability and integrity. In privacy management, trust can be understood as consumers' confidence that firms will act reliably and with integrity when handling personal information (Morgan & Hunt, 1994; Beke et al., 2022; Chen & Jai, 2021).

Previous research suggests that trust can support consumers' willingness to disclose personal information, reduce privacy-related concerns, and make consumers more receptive to data-based personalisation, particularly when privacy concerns are present (Martin & Murphy, 2017; Bleier et al., 2020). Conversely, when a lack of trust is experienced, consumers are less willing to disclose personal information and may opt out of the exchange (Martin et al., 2017; D'Assergio et al., 2025). Trust may also be supported through privacy

policies, reliable data practices, transparent communication, privacy assurance, and information access control, which can help consumers understand and accept firms' collection of personal information (Bleier et al., 2020; Moon et al., 2022; D'Assergio et al., 2025).

Trust is further relevant in personalisation contexts, where firms depend on customer information to create personalised offerings (Awad & Krishnan, 2006). Awad and Krishnan (2006) show that this creates a tension, as consumers who value information transparency may be less willing to be profiled for personalisation. This suggests that how firms handle information must be perceived as reliable if consumers are to accept data-based personalisation.

In the context of loyalty programmes, trust is particularly relevant because these programmes are used to build customer relationships and often involve the collection of customer data for communication, incentives, and customer segmentation (Chen & Jai, 2021). Zhang and Liu-Thompkins (2024) note that loyalty programme members tend to have higher trust in firms, stronger willingness to share personal information, and greater acceptance of personalised communication than non-members. Stathopoulou and Balabanis (2016) further show that loyalty programme benefits can strengthen trust in the programme and, in turn, contribute to loyalty toward the retailer.

2.4 Loyalty programmes, customer data and personalisation as the empirical context

2.4.1 Loyalty programmes

Loyalty programmes can be understood as marketing and customer relationship management tools structured as incentive systems to encourage repeated customer interactions and strengthen long-term customer relationships over time (Kim et al., 2021; Zhang & Liu-Thompkins, 2024). Programme benefits may be tangible rewards, such as points, discounts, vouchers, or gifts, or intangible rewards, such as personalised service, status, convenience, recognition, or programme-related information (Bruneau et al., 2018; Chen & Jai, 2021; Kim et al., 2021).

However, Bruneau et al. (2018) show that loyalty programme membership does not necessarily imply active engagement. Although firms may succeed in recruiting members, sustaining engagement over time remains more challenging. They further argue that loyalty programme engagement extends beyond card use and reward redemption and includes more active responses such as responding to programme communication, adapting purchase behaviour, and seeking programme-related information (Bruneau et al., 2018).

Loyalty programmes involve the collection of customer information and preferences to build customer profiles, which can evoke privacy concerns regarding how such information is used and protected (Chen & Jai, 2021). This makes loyalty programmes a relevant context for understanding how personalisation is connected to customer data and privacy concerns (Chen & Jai, 2021; Zhang & Liu-Thompkins, 2024).

2.4.2 Consumer Data

Consumer data represents information generated through interactions between consumers and firms' touchpoints (Blasco-Arcas et al., 2022). Managing consumer data involves collecting, processing, and analysing information to generate customer insights that can support firms in identifying customers' needs and tailoring offerings accordingly (Martin & Murphy, 2017; Varadarajan, 2020; Eggers et al., 2023). These insights may in turn affect value created between firms and customers (Fast et al., 2023). Such data may be provided directly by consumers or inferred from their interactions with firms (Murthi & Sarkar, 2003; Blasco-Arcas et al., 2022; Krafft et al., 2021).

Consumer data can therefore have strategic value for firms, as it may support customer understanding, relationship-building, and personalised marketing activities (Krafft et al., 2021; Kamel, 2023). However, consumer data does not create value by itself. Its value depends on firms' resources and capabilities to process, analyse, and transform data into actionable customer insights (Blasco-Arcas et al., 2022; Krafft et al., 2021; Kamel, 2023). In the context of personalisation, these insights provide the basis for learning about customer preferences and adapting offerings or recommendations accordingly (Murthi & Sarkar, 2003).

2.4.3 Personalisation

Loyalty programmes constitute an important context for personalisation in marketing, as they provide firms with customer data that can be used to tailor communication and offerings to individual customers (Zhang & Liu-Thompkins, 2024). Personalisation generally refers to firms' use of customer information to adapt products, services, recommendations, communication, or offerings to customers' individual needs, preferences, and behaviours (Montgomery & Smith, 2009; Murthi & Sarkar, 2003; Chandra et al., 2022).

Personalisation is an increasingly important concept in contemporary marketing (Chandra et al., 2022) and may take the form of personalised offers, product or service recommendations, and tailored advertisements based on consumer data (Aguirre et al., 2015; Murthi & Sarkar, 2003; Bleier & Eisenbeiss, 2015a). The development of personalisation is closely linked to digital technologies and increased consumer digital activity, which have expanded firms' opportunities to collect and use customer information for personalised experiences across channels (Chandra et al., 2022; Krafft et al., 2021). Murthi and Sarkar (2003) conceptualise personalisation as a process in which firms learn about customer preferences, match offerings to those preferences, and evaluate the effectiveness of these efforts.

However, personalisation is not inherently beneficial, as its value depends on whether the benefits of adaptation outweigh its explicit and implicit costs, including potential negative customer responses (Montgomery & Smith, 2009). For example, highly personalised advertising may be perceived as useful when trust is high, whereas low trust may cause such advertising to generate unfavourable consumer responses and raise privacy concerns (Bleier & Eisenbeiss, 2015b).

2.5 Privacy Paradox and the Personalisation-Privacy Paradox

Privacy concerns expressed by consumers are not always reflected in their actual information disclosure behaviour. This inconsistency is commonly referred to as the "privacy paradox", where consumers may express concerns while still disclosing personal information when they perceive that sharing data provides sufficient value (Athey et al., 2017; Beke et al., 2022; Wisniewski & Page, 2022). Athey et al. (2017) provide empirical support for this paradox by showing that even small incentives can increase individuals' willingness to disclose private information despite expressed privacy concerns.

This provides an important foundation for understanding what Awad and Krishnan (2006) describe as the personalisation-privacy paradox. According to the authors, this paradox is a fundamental tension for firms, implying that firms need consumer data to provide personalised offerings while consumers may perceive the collection and use of such data as a privacy risk. Awad and Krishnan (2006) show that consumers who value information transparency highly are less willing to be profiled for personalisation. This suggests that privacy-sensitive consumers may become more cautious when data collection and profiling practices are made more noticeable, which can reduce their willingness to participate in personalisation (Awad & Krishnan, 2006).

This tension is particularly evident when firms do not clearly explain how consumer data is collected and used, as this may create negative consumer reactions (Aguirre et al., 2015). However, certain contexts may reduce this effect. In loyalty programme contexts, the tension may be less pronounced when members have higher trust in the firm and are more willing to accept personalised communication (Zhang & Liu-Thompkins, 2024).

Cloarec (2020) extends the personalisation-privacy paradox through the lens of the attention economy. In digital environments characterised by information overload, consumer attention can be a scarce resource. Personalisation may therefore be viewed as a strategic tool for firms to help consumers filter through digital noise and provide relevance. However, tailored personalisation depends on the collection and use of consumer data, which may simultaneously increase privacy concerns. The paradox therefore also concerns the balance between using data to create relevant personalised experiences and avoiding data practices that consumers perceive as too extensive or intrusive (Cloarec, 2020).

2.6 Analytical Framework

The analytical framework of this study is situated in the context of loyalty programmes in service and retail firms. These programmes are relevant for examining the tension between personalisation and privacy concerns because firms rely on customer data to provide personalised communication, tailored offers, and relevant customer experiences, while also needing to address concerns related to the collection and use of personal information. The framework guides the categorisation and analysis of the empirical material by linking

fairness-related practices and trust to the conditions firms seek to create or preserve through their personalisation and privacy-related practices.

The framework draws primarily on social justice theory and Eggers et al.'s (2023) conceptualisation of firms' privacy practices through distributive and procedural fairness. Martin and Murphy (2017) approach data privacy in marketing as a multifaceted issue that involves more than one theoretical perspective, where justice theory is one theory applied. Rather than applying this broader range of perspectives, this study adopts a more narrow analytical focus on social justice theory to examine how firms describe and justify privacy and personalisation practices in loyalty programmes. In prior research, distributive and procedural fairness are mainly used to explain how consumers evaluate firms' privacy practices and how such evaluations influence their willingness to disclose personal information (Culnan & Bies, 2003; Martin & Murphy, 2017; Eggers et al., 2023). In this study, the framework is adapted to a firm-side perspective. Distributive fairness, procedural fairness, and trust are therefore not used to measure customers' actual perceptions of fairness, but as analytical lenses for examining how professionals responsible for loyalty, customer relationship management (CRM), and personalisation describe and justify their firms' practices.

Privacy calculus, the privacy paradox, and the personalisation-privacy paradox are not included as separate analytical dimensions, but provide the broader theoretical background to the framework. These perspectives are used to explain the tension between personalisation and privacy in which firms operate, as consumers may value personalisation while simultaneously being concerned about the data collection and profiling it requires (Awad & Krishnan, 2006; Dinev & Hart, 2006; Athey et al., 2017; Beke et al., 2022; Cloarec, 2020).

Distributive fairness concerns how customers perceive the fairness of the outcomes of disclosing personal information to a firm (Culnan & Bies, 2003; Martin & Murphy, 2017). In Eggers et al.'s (2023) framework, this includes firms' practices related to information collection, storage and use. In the present study, the dimension of distributive fairness is applied to examine how firms work with customer data to support personalisation in loyalty programmes while making the data exchange appear reasonable and valuable to customers. More specifically, this dimension directs attention to how firms justify what data is collected, how it is stored, and how it is used to create customer value through relevant communication

or personalised offers. Since customer data is central to personalisation, the dimension helps examine how firms seek to make the data exchange appear reasonable and of value to customers (Eggers et al., 2023; Chandra et al., 2022; Montgomery & Smith, 2009).

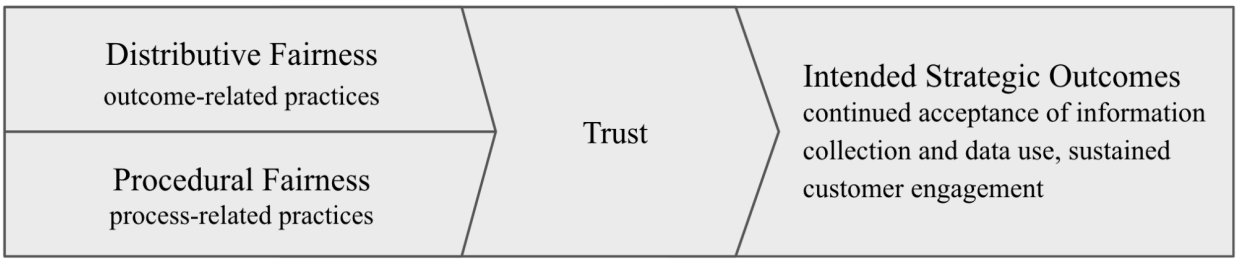
Procedural fairness is used to analyse firms' process-related practices, particularly transparency and customer control. Transparency concerns how firms communicate their data practices, while control concerns the extent to which customers are granted influence over how their personal information is collected, stored, or used (Eggers et al., 2023). These practices are relevant because unclear communication about data collection and use may make personalisation appear intrusive or illegitimate (Aguirre et al., 2015; D'Assergio et al., 2025). In this study, procedural fairness therefore helps examine how firms seek to support the legitimacy of personalisation through privacy policies, consent, communication preferences, opt-out possibilities, and other rights related to personal data.

Trust is conceptualised as a relational condition that supports customers' willingness to disclose personal information, accept data-based personalisation, and remain engaged in loyalty programmes over time (Martin & Murphy, 2017; Bleier et al., 2020; D'Assergio et al., 2025; Zhang & Liu-Thompkins, 2024). In this study, trust directs attention to how professionals describe responsible data use, transparency, customer control, data protection, and broader firm perceptions as important for sustaining personalisation in loyalty programmes.

Finally, the framework includes intended strategic outcomes. These are not understood as actual customer outcomes or directly measured effects. Rather, they refer to theoretically informed conditions that firms seek to support through their privacy and personalisation practices. These conditions include continued acceptance of information collection and data use and sustained customer engagement. This understanding is informed by prior research suggesting that fair data exchanges, transparency, control, and trust may support consumers' willingness to accept information collection and data use (Culnan & Bies, 2003; Eggers et al., 2023; Martin & Murphy, 2017; Bleier et al., 2020). Intended strategic outcomes therefore function as an analytical category for examining what firms seek to enable through their management of customer data, personalisation, and privacy concerns.

Figure 1

Analytical framework for examining how firms manage the tension between personalisation and privacy concerns in loyalty programmes.



3. Research Methodology

3.1 Research Design

To address the study's purpose of exploring how professionals responsible for, or with insight into, loyalty programmes in service and retail firms strategically manage the tension between personalisation and privacy concerns, the study adopts a qualitative research approach. A qualitative design is appropriate as the aim is to gain a deeper, contextual understanding of complex organisational processes, managerial reasoning, and practices (Myers, 2013; Bell et al., 2022). The study is further grounded in an interpretivist research philosophy, which is appropriate given the aim of understanding how respondents involved in loyalty, CRM and personalisation-related practices within loyalty programmes reason about and navigate issues related to customer data, personalisation, and privacy concerns in loyalty programmes (Bell et al., 2022).

In conjunction with the interpretivist perspective, the study adopts a constructionist ontological position. A constructionist perspective views social phenomena as socially constructed through human interactions and interpretations that are shaped over time, rather than as external and fixed entities (Bell et al., 2022). In the context of this study, personalisation practices and customer privacy concerns are therefore viewed as socially constructed phenomena that are shaped by context and subject to change over time. For instance, what may have been perceived as an unacceptable intrusion into customer privacy in the past may today be regarded as a normal part of digital marketing practices (Respondent 6). This illustrates that the boundaries of these phenomena are fluid and dependent on the context.

Furthermore, the study follows an abductive research logic. Abduction involves moving iteratively between theory and empirical data in order to develop a more refined understanding of the phenomenon under study (Bell et al., 2022). In this study, an initial analytical framework was developed based on prior research on fairness dimensions, privacy, personalisation and trust. This framework served as the basis for the empirical investigation. Simultaneously, the analysis remained open to patterns and interpretations emerging from the empirical material, allowing the authors to move back and forth between theoretical concepts

and respondents' answers in order to further refine the understanding of how the studied tension is strategically managed in the context of loyalty programmes.

The study relies on semi-structured interviews with respondents holding roles related to loyalty programmes, CRM, and personalisation. These interviews are complemented by organisational documents to provide contextual understanding. The following sections describe the study's operational definitions and delimitations, research context, sampling strategy, and data collection and analysis process in further detail.

3.1.1 Operational definitions and delimitations

To ensure consistency during data collection and analysis, the following operational definitions were applied:

- Personalisation: While personalisation in marketing can take many forms, this study is delimited to personalised messaging and communication within loyalty programmes, such as targeted emails, app notifications, and text messages, as well as personalised offerings, such as individualised discounts or rewards.

- Loyalty programmes: Within the present study, loyalty programmes refer to firm-managed customer programmes that constitute the context for examining the aforementioned personalised marketing activities. Loyalty programmes are understood as marketing and customer relationship management tools used to encourage repeated customer interactions and support long-term customer relationships (Kim et al., 2021; Zhang & Liu-Thompkins, 2024).

- Consumer and customer data: In this study, consumer and customer data refers specifically to first-party data collected directly by organisations about their loyalty programme members, used to enable personalisation practices. Specifically, the study focuses on personalisation based on first-party consumer and customer data, excluding third-party data. This includes, but is not limited to, purchase history and other behavioural data.

3.2 Data collection

3.2.1 Choice of context and firm selection

Loyalty programmes were selected as the empirical context because they constitute settings in which firms use consumer data for personalised communication, offers, and customer relationship activities (Zhang & Liu-Thompkins, 2024; Chen & Jai, 2021). Following a purposive and convenience sampling logic, firms were selected based on their relevance to the phenomenon under study. To ensure empirical relevance, the selected firms had to have an established loyalty programme and use consumer data in relation to personalisation, offers, or marketing communication. The firms had to operate within the Swedish service or retail context. The participating firms differed in geographical scope. Some mainly operate in Sweden or the Nordic region, while others are part of wider European or international organisations. However, this study focuses on their activities in the Swedish market. This provided a common contextual frame across the sample. In addition, all firms included in the study had to comply with GDPR, which provided a common ground for the processing of personal data.

To identify firms that met these inclusion criteria, particular attention was given to publicly available firm documents, including membership terms, privacy policies, and loyalty programme descriptions. These sources provided relevant information about how firms described the use of consumer data in relation to offers, communication, and digital customer interactions.

Although the study is not limited to a single industry, the included firms share an empirical context through their established loyalty programmes and related consumer data practices. By including firms within service and retail sectors, the study captures variation within a shared organisational context rather than aiming for industry-specific insights. More specifically, the selected firms operate in areas such as hospitality, restaurants, grocery, and retail. This variation allowed the phenomenon under study to be explored across multiple settings in which loyalty programmes and personalisation practices are relevant.

3.2.2 Participant selection

Participant selection was guided by the study's purpose and research question. Participants were therefore required to have direct involvement in, or clear insight into, organisational practices related to consumer data, personalisation, and privacy-related issues in loyalty programmes. To identify and recruit participants with relevant knowledge, the study used purposive sampling, complemented by snowball sampling, as described below. Purposive sampling was appropriate because it allows participants to be selected based on their knowledge of the phenomenon under study and their ability to provide relevant insights (Ravitch & Carl, 2020).

Potential participants were identified through company websites and LinkedIn and were subsequently contacted via email or LinkedIn. The initial contact included a brief description of the study to help recipients assess whether they matched the study's inclusion criteria (see Appendix C). Snowball sampling was used as a complementary strategy when responsibilities were difficult to identify through publicly available information (Bell et al., 2022). Initial contacts were therefore asked to forward the request to a more relevant person within the organisation when appropriate.

What constitutes an adequate sample size in qualitative research is not fixed. Sufficiency depends on the purpose of the study and the extent to which the collected material provides relevant analytical insight (Bell et al., 2022; Ravitch & Carl, 2020). The final sample consisted of eleven interviews across ten firms. During the later stages of data collection, respondents' descriptions became increasingly recurrent, suggesting that additional interviews were less likely to contribute substantially new analytical insights. This was reflected in how central themes, such as the purpose of using consumer data, the importance of relevance in communication and offerings, and the need for transparency, appeared repeatedly across the interviews. Together with the organisational documents, the final sample was therefore considered sufficient to address the purpose of the study.

3.2.3 Data collection – semi-structured interviews

Semi-structured interviews were used to collect empirical data. This approach was considered appropriate because it combines structure with flexibility, allowing for key themes to be covered while enabling follow-up questions based on respondents' answers (Bell et al., 2022;

Daymon & Holloway, 2010; Ravitch & Carl, 2020). It also allowed respondents to elaborate on their experiences and introduce additional perspectives, which was important for generating nuanced empirical material (Myers, 2013).

Prior to the interviews, an interview guide was developed to ensure a degree of consistency across sessions (see Appendix A) (Bell et al., 2022; Daymon & Holloway, 2010). The guide was structured around themes derived from the analytical framework, including privacy-related practices, distributive and procedural fairness, trust, and personalisation. The questions were formulated as open-ended to allow respondents to answer in their own words and from their own perspectives (Rolland et al., 2019). The order of topics remained flexible depending on the respondents' answers and the flow of the conversation. As the interview process progressed, some follow-up questions were refined to help move the discussion beyond descriptions of formal procedures and better capture respondents' reasoning about strategic and practical considerations.

Participants received information about the study's purpose and the themes to be covered prior to each interview, supporting informed participation (Kvale & Brinkmann, 2014; Bell et al., 2022). Sharing the interview topics beforehand is also believed to have a strengthening effect on the dependability of the study (Bell et al., 2022). All participants were informed that participation was voluntary, that they could withdraw at any time, and that the interviews would only be audio-recorded with their consent.

A total of eleven interviews were conducted with representatives from ten firms (see Table 1). Most interviews were conducted in Swedish, while one was conducted in English at the respondent's preference to allow the respondent to express their views comfortably. The interviews were held via video calls and ranged between approximately 40 and 50 minutes in length. Both authors participated; one led the conversation, while the other took notes and asked follow-up questions when appropriate.

All interviews were audio-recorded and transcribed shortly after each interview with the support of automatic transcription software. The transcripts were manually reviewed against the recordings and corrected before analysis to reduce the risk of transcription errors. Quotations included in the empirical findings were translated into English with care to preserve the respondents' intended meaning. The interview material did not include sensitive

personal data. The transcripts were anonymised, and the final research material was stored in a location accessible only to the researchers.

Table 1

Overview of interviews.

Respondent	Industry	Role within the firm	Date of interview	Length of interview
1	Retail	Head of CRM & Customer Insight	2026-03-13	45 Minutes
2	Service	CRM Specialist	2026-03-18	45 Minutes
3	Retail	Head of Loyalty Program	2026-03-19	47 Minutes
4	Service	Head of CRM	2026-03-23	45 Minutes
5	Service	CRM Engagement Manager	2026-03-24	52 Minutes
6	Retail	Head of Member & Partnerprogram	2026-03-25	45 Minutes
7	Retail	Head of CRM	2026-04-01	45 Minutes
8	Retail	Customer Engagement & Analytics Specialist	2026-04-02	38 Minutes
9	Retail	Automation Specialist	2026-04-10	37 Minutes
10	Retail	Chief Marketing & Customer Officer	2026-05-08	40 Minutes
11	Retail	Head of Data Analytics	2026-05-12	42 Minutes

3.2.4 Data Collection – Organisational documents

To complement the interview data, organisational documents were collected from the firms that had participated in the interview study. These documents provided contextual understanding and enabled triangulation by allowing comparison with respondents' accounts from the same firms (Daymon & Holloway, 2010; Ravitch & Carl, 2020).

In total, 21 publicly available documents and webpages were collected and reviewed, primarily including privacy policies, membership terms, and webpages describing loyalty programmes and related digital services. The documents were selected to provide insight into how firms formally communicate personalisation, consumer data practices, transparency, and customer control in relation to their loyalty programmes. Particular attention was given to sections related to privacy, membership terms, customer or member data, personalised offers, communication, and digital customer interactions.

For analysis of the documents, they were organised under the same broad themes as the interview material, including personalisation as value-creating, justifications and boundaries for data collection and personalisation, and communication of responsibility, transparency, and customer control.

Since the documents were produced by the firms for purposes other than research, such as informing customers about membership terms, privacy policies, and data use, they were not treated as neutral or complete representations of organisational practice (Saunders et al., 2019). They were instead used to provide contextual insights into how the firms publicly frame their loyalty programmes, personalisation, privacy, and consumer data practices.

3.2.5 Ethical considerations

Careful consideration of ethical principles is important when conducting business research. Following Bell et al. (2022), four ethical principles have been applied to this study, avoidance of harm, lack of informed consent, invasion of privacy and deception.

Avoidance of harm concerns the potential risk of harming participants through stress or career prospects (Bell et al., 2022). In this study, the potential harm to participants' career prospects was mitigated through transparency and informed consent. This means that participants were thoroughly informed about the study and the intended use of information. The anonymity of the participants was respected throughout the study.

To ensure informed consent, the participants received information about the study’s interview structure, purpose, research method, and intended interview questions, both prior to and at the

beginning of the interview (See Appendix C). Participants were also informed about what participation would entail, potential risks, how the data would be handled, and who would have access to it. Participation was voluntary, and participants could withdraw before, during, or after the interview. This enabled them to make an informed decision about their participation (Ravitch & Carl, 2020; Bell et al., 2022; Kvale & Brinkmann, 2014).

The principle of privacy concerns relates to respecting the privacy of participants (Bell et al., 2022). To ensure confidentiality for participants, personally identifiable information was removed from transcripts, coding sheets and other study material (Ravitch & Carl, 2020). Furthermore, participants gave consent for the descriptions of their roles to be included in Table 1, as these role descriptions may constitute identifiable variables. However, due to the choice of in-depth interviews for data collection, full anonymity is not guaranteed as participants may be identified through specific experiences and situations.

Similar to informed consent, transparency is important (Bell et al., 2022; Ravitch & Carl, 2020). Deception was prevented by transparently informing participants of what their participation would entail. This was done through informed consent and continued contact with the participants throughout the study.

3.3 Trustworthiness and its components

To strengthen the quality of the qualitative research process, the study considered the four trustworthiness criteria of credibility, transferability, dependability, and confirmability (Bell et al., 2022; Daymon & Holloway, 2010).

Credibility was strengthened through triangulation, as organisational documents were used to complement the interview data. It was also strengthened through respondent validation, as interview summaries were shared with respondents, allowing them to correct misunderstandings or clarify statements (Bell et al., 2022). Transferability was supported by describing the research context, sample, and methodological choices, enabling assessment of the study's applicability to other contexts (Daymon & Holloway, 2010). Although the study does not aim for statistical generalisation, the inclusion of firms from different service and retail contexts provided variation within a shared empirical setting of established loyalty programmes. Dependability was addressed by documenting and motivating the main stages

of the research process, including the research design, sampling strategy, data collection, and analysis (Bell et al., 2022; Braun and Clarke, 2006). Confirmability was strengthened by linking the analysis and conclusions to the collected empirical material, the study's purpose, and the research question (Daymon & Holloway, 2010).

3.4 Use of AI tools

All arguments, analysis, and conclusions in this thesis were formulated by the authors. The AI tool ChatGPT was used only as support for language editing, including improving sentence clarity, grammar, and language flow. ChatGPT was not used to generate empirical findings, conduct coding, make analytical decisions, or formulate the conclusions of the study. All AI-assisted language suggestions were reviewed and revised by the authors. AI tools were not used in the coding process.

To support the transcription process, AI-based transcription tool TurboScribe was used to transcribe the interviews into text. The transcripts were manually reviewed against the audio recordings and corrected before analysis.

3.5 Operationalisation of the Analytical Framework

The analytical framework was operationalised by translating the identified theoretical concepts into sub-themes, empirical indicators, and interview questions (see Table 2). Distributive fairness, procedural fairness, and trust were used as analytical lenses to examine how firms manage privacy and personalisation practices in loyalty programmes. Intended strategic outcomes were used to analyse what firms seek to maintain or avoid through these practices.

Table 2

Operationalisation of the Analytical Framework

Theoretical dimensions	**Sub themes**	**Empirical indicators**	**Interview questions (nr)**
Distributive Fairness	Outcome-related practices (information collection, information storage, information use)	1. **Data necessity and appropriateness:** How respondents describe what consumer data is collected, why it is collected, and how such collection is justified in relation to personalisation and consumers' value. i.e. What data is "need-to-have" vs "nice-to-have" (Derived from: Culnan & Bies, 2003; Eggers et al., 2023). **2. Information storage/data security and protection:** How respondents describe how collected consumer data is handled, stored, and protected (Derived from: Eggers et al., 2023). 3. **Information use:** How respondents describe how consumer data is used to create consumer value, for example, through more relevant communication or personalised offers (Derived from: Eggers et al., 2023).	1, 2, 5, 6, 7
Procedural Fairness	Process-related practices (Transparency and customer control)	4. **Transparency:** How the respondents describe how the firm communicates its processes regarding the collection, storage and use of customer data. How these processes are made understandable to customers (derived from: Eggers et al., 2023; Aguirre et al., 2015; D'Assergio et al., 2025; Moon et al., 2022). **5. Customer control:** How respondents describe the degree of influence customers are granted over their personal information, and how the firm balances such control with its ability to use customer data for personalisation practices. This may include whether customers are able to withdraw from the exchange or exclude specific information (derived from: Culnan & Bies, 2003; Eggers et al., 2023).	4, 8 & 9
Trust	Trustworthiness	**6. Reliability & Trustworthiness:** How respondents describe what makes the firm appear reliable and trustworthy in its handling of customer data, including whether customers can trust that personal information is handled with reliability and integrity (derived from: Morgan & Hunt, 1994; Beke et al., 2022; Chen & Jai, 2021). **7. Transparent data practices and trust:** How respondents describe whether privacy policies, transparent communication, reliable data practices, privacy	10 & 11

		assurance, and information access control are used to support customer trust and reduce privacy concerns. (derived from: Bleier et al., 2020; Moon et al., 2022; D'Assergio et al., 2025).	
		8. Trust, disclosure, and loyalty programme engagement: How respondents describe the role of trust in customers' willingness to share personal information, accept information collection, and accept data-based personalisation (derived from: Martin & Murphy, 2017; Bleier et al., 2020; D'Assergio et al., 2025), as well as their continued engagement in loyalty programmes over time (derived from: Zhang & Liu-Thompkins, 2024; Stathopoulou & Balabanis, 2016).	10 & 11
Intended strategic outcomes	Conditions for sustained data use and personalisation	**9. Continued acceptance, engagement, and trust:** How respondents describe what firms seek to maintain or avoid through their privacy- and personalisation-related practices, including continued acceptance of data use, customer engagement, trust, and avoiding personalisation being perceived as too intrusive. Derived from: Eggers et al. (2023); Bruneau et al. (2018); Zhang & Liu-Thompkins (2024); Martin & Murphy (2017); Bleier & Eisenbeiss (2015b).	3, 4, 5, 6, 7, 10, 11

3.6 Data Analysis

3.6.1 Analysis of interview data

The interview material was analysed through thematic analysis, following Braun and Clarke's (2006) six-stage approach. Thematic analysis was considered appropriate as it enables the identification, organisation, and interpretation of patterns within qualitative data, while maintaining flexibility to capture respondents' experiences, interpretations, and meanings (Braun & Clarke, 2006). This was relevant given the study's aim of examining how professionals understand and manage the tension between privacy concerns and personalisation in loyalty programmes.

As data analysis is recognised as an iterative rather than a strictly linear process (Ravitch & Carl, 2020), the analysis began already during data collection, as initial reflections on recurring patterns were noted during and shortly after the interviews. Following Braun and Clarke's (2006) first stage, familiarisation with the data continued through transcription and repeated reading of each transcript, during which initial notes and markings were made throughout the material.

Following Braun and Clarke's (2006) second stage, initial codes were generated across the interview material. These codes captured statements relevant to the study's research question and analytical framework, while the coding process also remained open to recurring patterns that emerged from the interview material. The initial codes were colour-coded to provide an overview of recurring similarities and differences in the respondents' answers.

In the third and fourth stages, related codes were organised into preliminary themes and reviewed against the coded material and the full data set to assess relevance and coherence. Some themes were refined, merged, or adjusted to better reflect the empirical material and the purpose of the study. In stages five and six, the final themes were defined, named, and used to structure the empirical findings. Empirical examples were selected to illustrate the themes and were then related to the research question and the analytical framework. This resulted in three main themes: customer value as the rationale for personalisation, setting boundaries for acceptable data collection and practices, and building and maintaining trust in loyalty programmes. To illustrate the coding process, an example of how codes were developed into broader themes is provided in Appendix B. To strengthen the rigour of the thematic analysis, the analytical process was documented throughout, and the development of each theme was assessed in relation to the empirical material, the research question, and the analytical framework. The themes were therefore developed through an iterative analysis of patterns across the data, rather than being directly based on the interview questions (Braun & Clarke, 2006).

3.6.2 Analysis of document data

The document analysis was conducted as a complement to the interview material and included publicly available documents and webpages describing the firms' loyalty programmes, digital services, and customer data practices. The documents were read manually and organised according to the same broad themes that structured the interview findings. Particular attention was given to how the firms formally described personalisation, customer data use, transparency, consent, and customer control. Rather than treating the documents as objective representations of organisational practice, they were used to gain contextual insight into how firms publicly present these practices and to contextualise the interview findings.

4. Empirical Findings

This section presents the empirical findings by first presenting the interview material through the identified themes of customer value, boundaries, and trust. The organisational documents are then presented through customer value, boundaries, transparency, and control.

4.1 Interview Material

4.1.1 Customer value as the rationale for personalisation

Relevance is presented as the core value of personalisation

When discussing the value firms aim to create for members through personalisation, relevance emerged across the interviews as a central rationale for personalisation in loyalty programmes. Rather than simply sending out more communication, all respondents described personalisation as a way of making communication, offers, and recommendations more relevant to customers. Respondent 5, for example, explained that campaign offers should not be communicated broadly, but adapted to customers' previous behaviour and interests.

Several respondents, including Respondents 1, 2, 4 and 11, described that relevance is something customers expect when joining a loyalty programme. Respondent 2 stated that customers today expect firms to know certain things about them in order to provide relevant communication and offers. Respondents also referred to customer data, such as purchase history and behavioural data, as important sources of knowledge for understanding customers and creating this relevance. Respondent 10 further described relevance as depending not only on matching products to customers, but also on timing communication in relation to customers' needs and purchase signals.

While relevance and customer value were described across all interviews as a central outcome of their personalisation efforts, respondents emphasised different forms of value. Several respondents, including 3, 6, 7, and 8, described relevant communication as something that simplifies the customer journey and makes it easier for the customer to find the right products. For example, Respondent 7 stated:

“The first is to provide relevant recommendations or communication in general, because it makes it easier for the customer to buy our products.”

Respondent 9 described relevance as a broader guiding principle for communication, while Respondent 8 stated that the aim is to provide relevant offers on products customers are interested in, rather than simply increasing the number of offerings they receive.

Customer value extends beyond discounts

Across the interviews, respondents highlighted that customers often expect monetary value from loyalty programmes, such as discounts, bonuses, and member deals. Respondents 1 and 5 described monetary benefits as important drivers of loyalty programme participation. However, Respondent 5 also explained that the firm sometimes tries to avoid using discounts when they see that relevant communication is enough to encourage customers to engage or visit.

At the same time, respondents described customer value as extending beyond discounts alone. Respondent 1 expressed that:

"It’s easy for competitors to mimic you if your only value proposition consists of price cuts and transactional incentives."

Respondents referred to additional forms of value, such as helping customers find the right products faster, reducing noise in communication, providing inspiration, supporting post-purchase usage, and improving the broader customer experience. Respondent 7 described after-sales dialogues as a way of creating value beyond the purchase itself, for example by providing guidance related to assembly or product care. Respondent 9 similarly described customer data as something that should not only be used to push discounts, but also to guide, inspire, and build relationships over time. Respondents 3, 4, and 6 also referred to partner collaborations as a way of creating additional value and a better programme experience, for example through external partner offers or linked memberships that enable more relevant benefits.

The value of personalisation depends on perceived relevance

Across the interviews, respondents described assessing the relevance and reception of personalisation mainly through behavioural and engagement-based metrics, such as open rates, click-through rates, sales, surveys, focus groups, conversion rates, and opt-outs. For example, Respondent 4 explained that a higher opt-out frequency can indicate that the communication lacks relevance. In such cases, the firm needs to examine the surrounding context more closely and adjust the communication accordingly.

Respondents also described a lack of relevance as something that reduces the value of personalisation. Respondents 1 and 4 highlighted that repeated irrelevance can create frustration and reduce the perceived benefit of sharing data with the firm. Respondents 4 and 9 further argued that when firms do not make meaningful use of the data customers have shared, they may miss the opportunity to create valuable exchanges with customers. Respondent 2 similarly noted that personalisation may backfire when an offer is presented as personalised but does not feel relevant to the customer. Respondent 10 suggested that irritation may arise when firms do not use available data well enough, resulting in poorly targeted communication that does not match what the firm should know about the customer.

Several respondents also described a belief that customers today expect a certain level of personalisation. Respondent 6 suggested that such expectations are more pronounced today than they were about ten years ago. Respondent 1 similarly described personalisation within loyalty programmes as strongly customer-driven, noting that customers may become dissatisfied if firms fail to meet their expectations. Respondent 2 expressed this expectation clearly:

"Today, customers expect companies to know who they are, what they like, and their purchasing habits. When it comes to a personalised recommendation or offer, the expectation is that it should be based on their previous behaviour."

4.1.2 Setting boundaries for acceptable data collection practices

Across the interviews, respondents did not describe privacy concerns as a prominent issue raised directly by loyalty programme members. However, several respondents still described privacy-related sensitivity as something considered when determining the appropriateness of data use and personalised communication. Respondents 2, 3, 5 and 11 described avoiding

overly precise or explicit personalisation, instead relying on broader targeting or less direct wording to avoid making communication feel too intrusive or "creepy".

Keeping personalisation relevant without becoming intrusive

Several respondents described that they want to create relevant personalisation, while still avoiding communication that becomes too precise, immediate, or explicit. Respondent 2 described location-based targeting as a potential boundary issue, explaining that broader geographic targeting can be useful and create relevance, while real-time targeting based on a customer's immediate location can be perceived as intrusive. Respondent 3 similarly described acceptable personalisation as a balance between relevance and not making customers feel observed, stating that the firm does not want to be perceived as a "Big Brother" that knows exactly what customers buy. The same respondent described purchase-history data as important for avoiding communication that does not fit the customer's consumption patterns. Respondent 6 similarly stated that personalisation should not be based on single purchases alone, since one purchase, such as children's toothpaste, may lead to incorrect assumptions. Instead, several parameters are considered before communication becomes more specific.

Respondents also described acceptability as depending on context, channel, and tone. Respondent 3 emphasised that text messages are more personal than email and therefore require a higher degree of relevance. Respondents 6 and 9 described certain situations, such as declining purchase behaviour or a move, as requiring greater caution. Respondents 7 and 9 also explained that customer data can be used to create relevance without explicitly stating what the firm knows. Respondent 7 described phrasing communication as a question, such as "Have you moved?", even if the firm knows this about the customer. Respondent 9 described showing car-related products without directly stating that the customer owns a car. Respondent 7 further described an internal guideline document comparing the customer relationship to two cousins who do not meet often, which they use to keep communication relevant without becoming intrusive or impersonal. Respondent 6 also noted that product category matters, explaining that food can be communicated about more frequently without necessarily being perceived as excessive, since customers interact with this category often.

Data collection is justified through clear purpose and practical usability

A recurring pattern across the interviews is that respondents described clear purpose and practical usability as important conditions for data collection. Respondents 1, 2, 5, 7, 8 and 11 all described clear purpose and practical usability as important conditions for collecting or storing customer data. Respondents 7 and 8, for example, both described refraining from collecting data on customer preferences when the firm could not use it for relevant personalisation. Respondent 2 expressed the same principle by stating that:

"Data collection must have a greater purpose than just being interesting to know!"

Several respondents also described setting boundaries for acceptable data practices based on legal basis and formal practices. Respondent 1 described an internal process in which each type of customer data is linked to a specific purpose, legal basis, storage period, and risk assessment. Respondent 2 similarly described using a Data Protection Impact Assessment, a formal assessment of privacy risks connected to planned data processing, to evaluate potential customer impact and risks involved. Respondent 8 also noted that new forms of profiling would require renewed consent if they were not covered by the current terms.

Some data and customer groups are excluded from personalisation practices

Across the interviews, GDPR was consistently described as an important framework for guiding how customer data is collected, stored, and used. Respondent 7 stated that GDPR provides a baseline for legitimate data handling and referred to opinions, ethnicity, sexual orientation, and health profiles as examples of data the company does not collect. At the same time, respondents described data practices for personalisation as being guided by "common sense" or what feels relevant or appropriate. Similarly, Respondents 1, 6, and 7 all described excluding certain data from personalisation practices beyond legal requirements when it was considered sensitive, unsuitable, or not relevant to use, including creditworthiness, health data and education level. Respondents 2 and 5 further described age as a boundary, as customers under 18 are excluded from certain forms of targeted communication or first-party data activation.

Finally, when discussing whether personalisation had ever become too intrusive, respondents generally did not describe many direct customer complaints. Instead, Respondents 4, 6, 7, and 9 described behavioural signals, such as unsubscribes, opt-outs, and reduced engagement, as indicators of how communication is received. Respondent 7 provided an example of

communication they had conducted many years ago, directed at customers who had recently moved, where unusually high unsubscribe rates indicated that the communication had gone too far.

4.1.3 Building and maintaining trust in loyalty programmes

Across the interviews, trust was described as an important condition for maintaining customer relationships within loyalty programmes. Respondent 2 stated that without trust, customers will not return and connected trust to continued customer engagement. Respondent 1 similarly described trust as strategically important, connecting it to the ability to avoid member drop-off and maintain the value of the loyalty programme over time. Several respondents also referred to trust when discussing customers' willingness to remain in the programme, engage with communication, and share data with the firm.

Trust is linked to relevant and responsible use of customer data

Across the interviews, respondents connected trust to using customer data responsibly and in ways that create relevant and meaningful value for members. Respondent 6 related trust to using data to create the best possible customer experience and relevant offers, while Respondent 9 related trust to customers feeling recognised and receiving relevant communication without being overexposed. Respondents 8 and 10 further suggested that customers may be more willing to share additional voluntary data when they trust that it will be used to create something beneficial, such as more relevant support in relation to their specific needs and situation. Respondent 4 similarly explained that relevant offers are important for trust. According to the respondent, customers may otherwise question why they should give the firm access to their data if the firm does not use this information to respond to their shopping behaviour and interests, but instead treats them, as the respondent put it, as "one in the crowd". Several respondents also described trust as being weakened when customer data is used in ways that lack relevance. Respondent 6 believed that trust can be lost if data is used simply to push more products and purchases. Respondent 9 similarly explained that failing to use available purchase data appropriately, such as promoting a product shortly after the customer has already bought it, may "use up" some of the customer's trust.

Trust is supported by transparency, control, and data protection

Across the interviews, transparency, consent, customer control, and responsible data handling were described as important for trust. Respondents 2 and 3 referred to clearly stated policies and conditions as important ways of informing customers about the terms of participation in the loyalty programme. Respondent 2 further emphasised openness in how customer data is handled, suggesting that if a firm cannot explain its data practices clearly, this may indicate that something is not right. Respondent 11 similarly linked trust to collecting only necessary data and clearly explaining why such data is collected. Respondents 6, 7, and 8 also described customer control as important, including active customer choice, the ability to change communication consent, request data, or be anonymised.

Trust was also connected to internal safeguards and data security. Respondent 1 described limited access to customer data, protection mechanisms, accurate data, clear purposes, and caution around sensitive personal data as important for customers to trust how their data is used. Respondent 10 similarly emphasised legal compliance, not selling customer data, and IT security as central to making customers feel that their data is safe. The respondent also noted that such security work is treated more as an internal priority than something actively communicated to customers.

Trust is also connected to broader perceptions of the firm

Another recurring point was that respondents connected trust in data use to broader perceptions of the firm. Respondents 1, 2, 3 and 11 referred to the importance of the broad perceptions of the company in relation to customers' trust in how their data is handled. Respondent 7 stated that the most important way to create trust is for the company to be perceived as serious in general, saying:

"I believe that we have a high level of public trust because we are a serious company. I also believe that is the first, biggest and most important way to create trust."

Respondent 7 described how respect for customer data is built into everyday routines, such as not reading out social security numbers in stores and using two-factor authentication for internal systems. The same respondent further described how trust may be affected by security-related incidents outside the firm's direct control, giving the example of a past situation with fraudulent messages appearing to come from the company. This led the firm to

stop using text messages with links asking customers to update their information, as such communication was considered too similar to phishing practices.

4.2 Data from Organisational Documents

This section is based on a review of 21 publicly available documents and webpages from the participating firms, including privacy policies, membership terms, and webpages describing loyalty programmes and related digital services. It provides a condensed synthesis of the most analytically relevant patterns, with references to selected documents that illustrate these patterns.

4.2.1 Customer value as formally described in organisational documents

Across the documents, firms describe personalisation in relation to relevance, personalised offers, and member benefits. Coop states that the purpose of the membership programme is to provide a personalised experience (Coop, n.d.). Other firms refer to personalisation through personalised communication, discounts, bonuses, product recommendations, and personal offers (City Gross, n.d.a; Mio, 2018a; MAX, n.d.).

Some documents also connect personalisation to member activity. Scandic states that more active members can expect more personalisation, while City Gross and Coop describe personal discounts or tailored offers as connected to purchase activity or member engagement (Scandic, n.d.; City Gross, n.d.a; Coop, 2026).

Several documents describe personalised functions intended to make the customer journey more convenient. Åhléns states that personal data may be used to create personalised content, such as product recommendations, that simplify the customer experience (Åhléns, 2023). Coop and City Gross similarly describe adapted content, product recommendations, shopping-list functions, and digital receipts as ways of making shopping easier for customers (Coop, n.d.; Coop, 2026; City Gross, n.d.b; City Gross, n.d.a).

4.2.2 Boundaries for data collection and personalisation in organisational documents

The policies state that firms process personal data on the basis of legitimate interest, consent, or the need to fulfil membership agreements. MAX refers to “legitimate interest” when

processing personal data for marketing, while Coop and Mio describe certain processing as necessary for fulfilling the membership agreement (MAX, 2025; Coop, n.d.; Mio, 2018b).

Across the policies, firms describe the use of personal data as part of enabling personalised communication, offers, and content. MAX and Reitan Convenience state that profiling is used to develop relevant and personalised offers, content, and marketing for members (MAX, 2025; Reitan Convenience, 2026). Recurring data points mentioned in the documents include purchase history, contact information, website or digital behaviour, age, place of residence, and preferences provided by members (City Gross, n.d.b; MAX, 2025; Coop, 2026; Mio, 2018a; Arken Zoo, n.d.). Mio further states that such analyses are used not only to adapt communication, offers, and product recommendations, but also to avoid providing information that members may perceive as uninteresting or unnecessary (Mio, 2018a).

Several policies also describe limitations or conditions for data use. MAX states that the data used for marketing consists of non-sensitive data, which in many cases is available in public records or has been provided by the customer. The company further states that it weighs its interest in marketing against the customer's right to privacy (MAX, 2025). Mio states that social security numbers are only processed when necessary and clearly justified in relation to the purpose of the processing (Mio, 2018b). Scandic states that data shared with partners must not be used beyond the stated purpose (Scandic, 2026).

4.2.3 Transparency and customer control in organisational documents

The documents describe customer control through consent, communication preferences, and data rights. Several firms describe customers' rights to access, correct, delete, restrict, or object to the processing of personal data, including direct marketing or profiling (City Gross, n.d.b; Åhléns, 2023; Mio, 2018b; Reitan Convenience, 2026). City Gross further states that data use must stop if customers object and there are no legitimate grounds for continued processing (City Gross, n.d.b).

The documents also describe the customers' control over marketing communication and personalised offers. Several firms state that customers can opt in to, or opt out of, communication channels and direct marketing, including personal offers (Åhléns, 2023; MAX, n.d.; McDonald's, 2024; Coop, 2026; Arken Zoo, n.d.). Åhléns states that members

need to accept email or text message communication to receive all available offers, while Scandic states that consent is necessary for more personalised offers based on interactions with partner firms (Åhléns, n.d.; Scandic, 2026).

5. Analysis

This analysis examines how firms strategically manage customer privacy concerns related to personalisation in loyalty programmes by applying the analytical framework as a lens. Rather than treating privacy management as a separate compliance issue, the empirical material suggests that firms manage this tension by attempting to make the data exchange appear valuable, legitimate, and trustworthy. The analysis argues that relevance constitutes the central value through which firms justify the use of customer data, while boundaries around data collection and personalisation, transparency, customer control, and trust function as supporting conditions that enable continued acceptance of data use. In this way, the analysis shows that firms strategically manage privacy concerns not by separating them from personalisation, but by shaping personalisation practices so that continued data use appears valuable, legitimate, and trustworthy.

5.1 Distributive Fairness: Outcome-related practices

5.1.1 Information use: relevance as the strategic justification for data use

In Eggers et al.'s (2023) framework, information use concerns how firms process customer data to create value for customers, for example through personalised communication, offers, services, or recommendations. In the present material, information use is mainly justified through relevance. Respondents do not describe personalisation as a way of increasing the amount of communication, but as a way of making communication, offers, and recommendations more useful, timely, and aligned with customers' previous behaviour and interests.

From a distributive fairness perspective, relevance can therefore be interpreted as the main benefit customers are expected to receive in return for sharing personal data. This aligns with prior research, which argues that personalisation does not automatically make data use acceptable. Personalisation only strengthens the value of the data exchange if customers perceive the personalised content as valuable enough (Eggers et al., 2023). The findings suggest that firms try to support this value by using customer data to reduce irrelevant communication, simplify the customer journey, provide more suitable offers, and make interactions with the loyalty programme more meaningful. This also reflects the

personalisation-privacy paradox, where customer data can create value through personalisation, but may also raise privacy concerns if data use feels too intrusive or does not provide enough value (Awad & Krishnan, 2006; Aguirre et al., 2015). In this context, the relevance described by respondents is central because it helps firms make data use appear more reasonable and valuable from the customer's perspective.

Consistent with prior research describing the benefits of information disclosure as including broader forms of value beyond purely financial incentives (Culnan & Bies, 2003; Beke et al., 2022), the empirical material also shows that the value created through information use is not limited to monetary rewards. Discounts, bonuses, and member deals remain important, but respondents also describe value in terms of convenience, inspiration, after-sales support, reduced communication noise, and improved customer experiences. This broader understanding of value is also reflected in the analysed company documents, where descriptions of loyalty programmes and data use connect personalisation to personalised offers, adapted digital content, product recommendations, shopping-list functions, and more convenient customer journeys. This suggests that firms seek to broaden the benefit side of the data exchange beyond transactional rewards by using customer data to create a more relevant loyalty programme experience.

However, the empirical material reflects the theoretical arguments that customer data does not create this value by itself. Customer data becomes valuable when firms are able to turn it into insights that support relevant communication and offers (Blasco-Arcas et al., 2022; Krafft et al., 2021; Kamel, 2023). Similarly, the respondents describe organisational and technical capabilities as necessary for making personalisation work in practice. From a distributive fairness perspective, this implies that the fairness of information use depends on whether firms can use customer data in ways customers are expected to recognise as useful.

The findings further suggest that firms mainly evaluate the value of personalisation through indirect signals. Respondents describe open rates, click rates, conversion rates, sales, surveys, focus groups, opt-outs, and unsubscribe rates as ways of assessing whether personalised communication is relevant and well received. These indicators may help firms understand how customers respond to communication, but they do not directly show whether customers perceive the data exchange as fair or worthwhile. Firms appear to assess the value and acceptability of information use mainly from customer behaviour that they can observe.

The findings also show an additional risk in firms' use of customer data. Personalisation may become problematic when it feels too intrusive or "creepy", but also when firms fail to use shared data in a meaningful way. Several respondents describe that customers today expect firms to recognise their previous behaviour, preferences, and needs when they have shared data. As a result, generic, poorly timed, or irrelevant communication may create frustration rather than value. Building on this, firms appear to manage information use through balancing relevance and restraint: customer data needs to be used clearly enough to create meaningful value, but not so explicitly or extensively that personalisation becomes intrusive.

5.1.2 Information collection: data necessity and acceptable boundaries

Information collection is not described as a matter of collecting as much customer data as possible in the empirical material. Instead, legitimate data collection is presented as dependent on clear purpose, practical usability, and relevance for the customer. This aligns with distributive fairness, where information collection concerns what customers give up in the data exchange in relation to the value they receive in return (Eggers et al., 2023). From this perspective, firms appear to make data collection more reasonable by connecting it to the value that the data can help create through personalisation.

Several respondents emphasise only collecting customer data when it can be used meaningfully. Respondents state that data that is merely "interesting to know" is not sufficient. Instead, data is described as necessary when it can support relevant communication, personalised offers, or improved customer experiences. This purpose-oriented approach is also reflected in respondents' descriptions of internal processes where data collection is linked to clear purposes, legal basis, and risk assessment. This suggests that firms set boundaries around data collection by considering not only whether data can be collected, but also whether it should be collected and how it can create customer value.

The findings further suggest that acceptable data use is context-dependent rather than fixed. Respondents describe the appropriateness of personalisation as depending on communication channel, timing, product category, customer situation, and the level of precision in messages. Some respondents describe avoiding direct references to what the firm knows about the

customer, even when this knowledge could support more targeted communication. This suggests that firms seek to reduce the risk of perceived intrusiveness by adjusting how explicitly customer data is used across different contexts. This boundary-setting also reflects the personalisation-privacy paradox, as the empirical material suggests that firms try to use data specifically enough to create meaningful personalisation, but not so explicitly that customers perceive it as intrusive (Awad & Krishnan, 2006; Aguirre et al., 2015).

Although GDPR is described as an important baseline for legitimate data handling, firms also appear to draw boundaries beyond legal compliance alone. The document material shows formal limitations around profiling, sensitive data, social security numbers, consent, and purpose-based processing, while respondents also refer to relevance, appropriateness, and common sense when explaining what data should be collected or used. This suggests that acceptable information collection is not only a legal matter, but also a contextual judgement about whether data use is necessary and proportionate. Strategically, these boundaries help firms continue using customer data for personalisation while reducing the risk that such practices are perceived as excessive or intrusive.

5.1.3 Information storage: data protection as an enabling condition

In contrast to information use and information collection, information storage and data protection appear less central to how firms describe the customer-facing value of personalisation. In Eggers et al.'s (2023) framework, information storage concerns how collected customer data is saved, protected, and kept available for future use. Within this framework, safer storage practices can reduce the perceived risk associated with information disclosure.

The empirical material suggests that data protection is embedded in both formal policies and organisational routines. Respondents refer to restricted access to customer data, protection mechanisms, IT security, caution around sensitive data, and not selling customer data. The document material similarly describes limitations around how personal data may be processed, shared, and used, including purpose-based processing and restrictions on partner data use. These practices indicate that data protection is viewed as necessary for responsible data handling.

These practices can be interpreted as supporting the data exchange by making information disclosure appear safer and more controlled. However, unlike relevance, data protection does not appear to function as a central value proposition in the loyalty programme. This contrasts somewhat with prior research suggesting that stronger privacy and data security practices may provide firms with a competitive advantage (Eggers et al., 2023; Bleier et al., 2020). In the present material, data protection is better understood as an enabling condition. It helps legitimise continued data use, but it is not the primary value customers are expected to receive from personalisation.

5.2 Procedural Fairness: Process-related practices

Procedural fairness concerns the transparency and control practices through which firms seek to make data use appear legitimate and manageable for customers. In theory, such practices may support information disclosure by making data practices clearer and giving customers greater influence over how their personal data is used (Culnan & Bies, 2003; Eggers et al., 2023; D'Assergio et al., 2025). In the present material, transparency and control appear mainly as formal mechanisms for legitimising data use, rather than as actively promoted sources of customer value.

This is particularly visible in the document material. Across privacy policies and membership terms, firms describe how personal data is collected and used in relation to membership, marketing, personalised offers, and communication. The documents also describe customers' rights to access, correct, delete, restrict, or object to the processing of personal data, as well as possibilities to opt out of direct marketing or adjust communication preferences. These practices align with procedural fairness because they make data practices more visible and give customers some degree of control over the data exchange. However, the interview material suggests that transparency and control are not strongly emphasised as central benefits of the loyalty programme. Respondents describe transparency, consent, opt-out possibilities, and customer control as important, but mainly in relation to privacy policies, membership terms, legal requirements, and communication preferences. This indicates that procedural fairness is treated as necessary for making personalisation legitimate, rather than as the main value customers are expected to receive.

This differs somewhat from prior research suggesting that firms may gain strategic advantages by actively promoting privacy practices that customers value (Bleier et al., 2020; Eggers et al., 2023). A possible interpretation is that firms perceive customers as more focused on relevance, convenience, and loyalty programme benefits than on privacy practices themselves. In this sense, transparency and control function more as supporting safeguards around data use.

Procedural fairness can therefore be interpreted as supporting the strategic management of privacy concerns by making data use more understandable, controllable, and legitimate, while functioning mainly as a background condition rather than as the primary value customers are expected to receive in the exchange.

5.3 Trust

Trust is understood in the theoretical framework as a relational condition that supports customers' willingness to disclose personal information, accept data-based personalisation, and remain engaged in loyalty programmes. In the empirical material, trust is also described as important for customers' willingness to stay in the programme, engage with communication, and continue sharing data with the firm. This suggests that trust is not only a general feature of the customer relationship, but a strategic condition for sustaining the data exchange on which loyalty programme personalisation depends. Without trust, firms risk losing access to the customer data and engagement needed to maintain relevant personalisation over time.

A central pattern in the empirical material is that trust is closely linked to how customer data is used in practice. Several respondents suggest that trust is supported when customer data is used responsibly, for example, by providing relevant offers, making customers feel recognised, and improving the customer experience. This reflects prior research suggesting that trust can reduce privacy-related concerns and support consumers' willingness to disclose personal information for data-based personalisation (Martin & Murphy, 2017; Bleier et al., 2020). In this sense, relevance is not only a form of customer value but also a way for firms to maintain trust in their use of customer data.

Conversely, the empirical material indicates that trust may be weakened when personalisation becomes irrelevant, poorly timed, or overly sales-driven. Respondents describe that customers may question the value of sharing data if firms do not use it to provide relevant communication or offers. This implies that trust depends not only on firms avoiding intrusive data use, but also on using customer data well enough to make the exchange meaningful. Poor use of data may therefore weaken trust by making data exchange appear less valuable from the customer's perspective.

Trust is also supported by formal privacy practices. Respondents describe transparency, consent, customer control, responsible data handling, and data protection as important for customers' confidence in how their data is handled. This aligns with prior research suggesting that transparent communication, reliable data practices, privacy assurance, and information access control can support customer trust (Bleier et al., 2020; Moon et al., 2022; D'Assergio et al., 2025). However, in the present material, these practices appear mainly as formal or internal conditions rather than as central parts of the loyalty programme's visible value proposition. Thus, transparency, control, and data protection support trust, while relevance remains the more visible value offered to customers.

The empirical material suggests that trust in data use is also connected to broader perceptions of the firm. Respondents refer to the importance of being perceived as serious, responsible, and reliable. This indicates that respondents understand customers' acceptance of data use as shaped not only by specific privacy practices, but also by their overall confidence in the firm. Trust can therefore be understood as a condition that holds data exchange together: it may support continued data sharing, make personalisation more acceptable, and help firms sustain personalisation in loyalty programmes while managing privacy concerns.

5.4 Intended strategic outcomes

In this study, intended strategic outcomes are understood as the conditions firms seek to maintain through their management of customer data, personalisation, and privacy concerns. They are not treated as evidence that customers actually accept data use, engage more, or develop stronger trust in data-based personalisation. Instead, they capture what firms appear to regard as necessary for such personalisation to remain acceptable and, in turn, sustainable over time within loyalty programmes.

First, firms appear to seek continued acceptance of data use by making the data exchange both valuable and reasonable from the customers' perspective. As shown in the analysis of information use, relevance functions as the main way firms justify collecting and using customer data. However, continued acceptance also depends on avoiding personalisation that becomes too explicit, too precise, or too closely connected to what firms know about the customer. Avoiding intrusiveness should therefore be understood as part of maintaining continued acceptance. Strategically, this suggests that firms seek to keep data use acceptable by creating relevant customer value while limiting how explicitly customer data is used.

Secondly, sustained engagement appears to depend on whether the loyalty programme remains meaningful beyond transactional rewards. Discounts, bonuses, and member deals remain important, but respondents do not describe them as sufficient on their own. Instead, personalisation is presented as a way of making the programme more useful through relevant communication, reduced communication noise, inspiration, convenience, and improved customer experiences. Strategically, this suggests that firms use personalisation not only to generate short-term responses to offers, but also to make the loyalty programme relevant enough for members to continue engaging with it. This continued engagement helps firms maintain access to the customer data needed for further personalisation.

Finally, trust also appears as a key condition that firms seek to preserve. As the preceding analysis shows, trust is connected to responsible data use, relevant personalisation, transparency, customer control, data protection, and broader perceptions of the firm as serious and reliable. Trust therefore helps sustain the data exchange by making data-based personalisation more acceptable from the customer's perspective. At the same time, trust may be weakened if personalisation becomes irrelevant, too sales-driven, intrusive, or poorly aligned with customers' expectations. Firms therefore appear to preserve trust through both formal privacy practices and by using customer data in ways that customers are expected to recognise as meaningful and appropriate.

Overall, the intended strategic outcomes show which conditions firms seek to preserve in order for data-based personalisation to continue. These conditions are strategically important because personalisation depends on customers remaining willing to interact with the programme and allow firms to use their data. Consequently, the analysis suggests that privacy

concerns are strategically managed by maintaining the conditions that make continued data use appear valuable, acceptable, and trustworthy.

6. Discussion and Conclusion

The purpose of this thesis was to examine how firms strategically manage customer privacy concerns in relation to personalisation in loyalty programmes. Building on the analysis, the study shows that firms do not manage these concerns only as a compliance issue, but as part of a broader strategic effort to create conditions for customers' expected acceptance of data-based personalisation. More specifically, firms seek to make data use appear valuable, acceptable, legitimate, and trustworthy.

A central finding is that relevance functions as a key mechanism through which firms justify data use in loyalty programme personalisation. This connects to prior research on privacy calculus and distributive fairness, where consumers' willingness to share personal information is understood as depending on whether perceived benefits outweigh perceived risks. The findings add a firm-side perspective by showing that respondents describe relevance as the main benefit firms seek to provide in this exchange. From the respondents' perspective, the return firms seek to offer is not limited to economic rewards, discounts, or points, but also includes more relevant communication, reduced noise, convenience, and improved customer experiences. This firm-side reasoning aligns with previous research suggesting that consumers may be more willing to disclose personal information when they perceive clear benefits from doing so (Martin & Murphy, 2017; Bleier et al., 2020). This suggests that relevance is not only an intended outcome of personalisation, but also a central way through which firms seek to make the data exchange appear worthwhile to customers.

The findings also nuance the personalisation-privacy paradox. Prior research often emphasises that personalisation can become problematic when it feels too intrusive, too specific, or too extensive. While the findings support this view, they also suggest that another concern emerges in professionals' reasoning about customer data use. From the respondents' perspective, personalisation may also become problematic when it is not relevant enough. This implies that firms need to manage privacy concerns not only by limiting data use and avoiding overly explicit personalisation, but also by ensuring that data use creates clear and meaningful value for customers.

At the same time, relevance alone is not sufficient. Personalisation must also remain restrained and legitimate, so that firms can use customer information to create value without

becoming overly explicit or intrusive. This is where procedural fairness becomes important. Transparency, consent, opt-outs, and customer control do not appear to replace relevance as the main value offered to customers, but function mainly as enabling conditions rather than as the central customer value in the loyalty programme. This adds nuance to previous research that presents transparency and control as important ways of reducing privacy concerns and supporting data disclosure (Culnan & Bies, 2003; Eggers et al., 2023; D'Assergio et al., 2025). The findings do not contradict the importance of procedural fairness, but indicate that these practices mainly support personalisation indirectly. They reduce the risk side of the data exchange and help firms continue using customer data legitimately.

The study therefore suggests that, from a firm-side perspective, distributive fairness, procedural fairness, and trust should be understood as interconnected conditions for managing privacy concerns and sustaining data use in loyalty programmes. Relevance is described by firms as a way to make the data exchange valuable, while transparency, control, and data protection are described as ways to make it legitimate. Trust connects these dimensions by being described as important for sustaining data-based personalisation. In relation to the intended strategic outcomes, this indicates that firms manage privacy concerns not only to reduce risk but also to preserve the conditions needed for continued data use, customer engagement, and sustained trust. A practical implication is therefore that managers should not base personalisation strategies solely on whether customer data use is legally allowed, but also consider whether it creates clear customer value, remains proportionate, and supports trust.

As previous research on privacy calculus and the personalisation-privacy paradox has mainly examined these issues from the consumer perspective, this study adds a firm-side perspective on how firms strategically manage customer privacy concerns related to personalisation. Rather than measuring customer reactions, the study highlights how firms interpret customers' expected privacy concerns and reason about what may make data use acceptable, valuable, and legitimate.

As firms increasingly rely on customer data and personalisation strategies to meet rising expectations for relevant and differentiated experiences (Eggers et al., 2023; Blasco-Arcas et al., 2022), managing privacy concerns becomes an important strategic issue beyond loyalty programmes. Previous research on privacy and data disclosure has shown that consumers'

willingness to share personal information is shaped by how they evaluate the benefits and risks of data use (Martin & Murphy, 2017; Bleier et al., 2020). While this thesis is situated in a loyalty programme context, the findings may add to a broader understanding of how privacy concerns can be managed in data-based marketing contexts where firms depend on customers' continued acceptance of personal data use. The findings suggest that data use may need to be relevant, reasonable, and legitimate, not only to improve personalisation, but also to support the continued use of customer data. In this sense, relevance is not only a marketing objective but also part of how firms may maintain the legitimacy of the continued use of customer data. Taken together, the study finds that firms strategically manage customer privacy concerns by balancing the value they create through personalisation with boundaries, transparency, control, and trust-building practices that make data use appear acceptable and legitimate.

7. Limitations and Future Research

The study is situated in the Swedish service and retail context and focuses on firms with established loyalty programmes. This means that the findings are shaped by this specific context and may not fully represent how privacy concerns are managed in other markets, industries, or forms of data-based marketing.

The participating firms differed in terms of industry, organisational scope, technological capabilities, and how extensively they used personalisation. The inclusion of both service and retail firms was partly influenced by the availability of relevant firms and respondents. This variation provided useful insights into broader patterns across firms, but it also limits the possibility of drawing detailed conclusions about one specific industry or type of loyalty programme. Future research could therefore examine one specific industry, as the findings suggest that the appropriateness of personalisation may depend on product category, customer situation, and the type of data being used. Furthermore, future research could compare service and retail firms more systematically. This would enable an understanding of how sector-specific conditions shape relevance, intrusiveness, and acceptable data use in loyalty programmes.

In addition to differences in industry and organisational scope, the participating firms also differed in geographical scope. Although the empirical material in this study did not indicate clear differences related to firms' geographical scope, future research could examine how international operations may shape privacy and personalisation practices more systematically.

Another theoretical limitation of this study concerns the scope of the analytical framework. Martin and Murphy (2017) present data privacy in marketing as a multifaceted issue that can be understood through several theoretical perspectives, including broader consumer, organisational, ethical, and legal concerns. This study recognises this broader understanding, but the theoretical framework was not designed to examine all of these perspectives. Given the purpose and scope of the study, the analysis instead focuses on fairness-related dimensions and trust. As a result, the study provides a focused understanding of fairness-related and trust-related aspects, while other privacy perspectives remain outside the scope of the study and may therefore offer additional insights in future research.

Moreover, a theoretical limitation of this study is that several concepts used in the theoretical framework, such as privacy calculus, fairness, and trust, are often discussed from the consumer perspective. In this thesis, these concepts have been used to analyse how firms interpret and respond to customers' expected privacy concerns. The study can therefore show how firms reason about what may make data use valuable, acceptable, and legitimate, but it cannot determine whether customers perceive these practices in the same way. Future research could therefore compare firm-side assumptions with customer perceptions of personalisation, privacy concerns, fairness, and trust.

Finally, future research could study how privacy concerns are managed in data-based marketing contexts beyond loyalty programmes. Since loyalty programmes represent a specific setting where customers have already entered an ongoing data-based relationship with firms, it would be valuable to examine whether similar patterns appear in other forms of personalisation, such as e-commerce, digital platforms, or subscription-based services.

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Appendices

Appendix A: Interview Guide

Introductory Questions

1. Can you tell us about your role in the firm and how you work with loyalty programs and personalisation?
2. What kind of tailored communication or offers do you use toward customers?
3. What value do you aim to create for customers through personalisation in the loyalty program?
    a. How do they know that the customer actually finds it valuable?
    b. How do they know that the customer sees the value as sufficient in relation to the data used?

Privacy calculus Logic

4. How do you reason when personalisation can create value, but the use of customer data may also be perceived as too personal or intrusive?

    a. In your experience, where is the line drawn between personalisation that is perceived as relevant versus personalisation that is seen as overly intrusive?

Distributive Fairness

5. How do you determine what customer data is necessary and appropriate to collect? And how does the organisation ensure that customer data is stored and protected responsibly?

6. Have you experienced situations where customers experience that the personalised communications are perceived as too close?
    a. Are there any risks involved when using consumer data in loyalty programmes? Do you work proactively?
    b. In what way does this affect your work surrounding the loyalty program?

7. In terms of consumer data and value, how does the organisation ensure that the customers experience added value in relation to the data that they disclose?

Procedural Fairness

8. How do you inform consumers about processes and policies regarding the collection, storage, and use of customers' personal information in a way that consumers understand?
    a. Do you think customers really understand how data is used? And how are you working to make this understandable?

9. What level of control do your customers have over how their personal data is collected, stored, and used in loyalty programmes?
    a. Do they have the opportunity to deny the collection, storage, and use of specific data, and can they change their preferences in retrospect?

Trust

10. What do you think is important for customers to perceive the use of their data for personalisation in loyalty programmes as trustworthy?
    a. Are there any specific measures that you believe are particularly important for customers to feel confident about how their data is used within loyalty programmes?

11. What value do you see in customers' trustworthiness toward the firms and how their data is being used within the loyalty program?
    a. In what way do you think customers' trust in how their data is used affects their willingness to continue sharing data and engaging with the loyalty program over time?

To Conclude

Is there anything you feel that we have missed or would like to add when it comes to balancing the integrity of customers and personalisation marketing practices?

Appendix B: Example of Coding and Theme Development

Theme	Code	Empirical pattern	Example quotes from respondents
Customer value as the rationale for personalisation			
	Relevance as key value	Respondents repeatedly describe relevance as the main value created through personalisation.	"*The first is to provide relevant recommendations or communication in general, because it makes it easier for the customer to buy our products.*" - Respondent 7
			"The first thing is, of course, to be relevant [...]. I am not only talking about a relevant product, but also relevance based on the needs my pet has. [...] It is also very much about trying to hit the right timing for a purchase signal." - Respondent 10
	Value beyond price incentives	Respondents describe customer value as extending beyond discounts to include broader experiential and relational benefits.	*"It's easy for competitors to mimic you if your only value proposition consists of price cuts and transactional incentives."* - Respondent 1
			"We guide, give tips, and create inspiration around the assortment [...], which shows that we use data in ways other than simply pushing products and discounts." - Respondent 9
Setting boundaries for acceptable data collection and practices			
	Avoiding overly intrusive personalisation	Respondents describe that firms deliberately avoid communication that feels too explicit, too close, or "creepy" to customers.	*"We never want to be creepy, saying for example, 'hey, we know you visited a store,' or something like that. We don't want to be that specific. We want to be specific in a way that makes sense to the customer."* - Respondent 5

			"If a person walks past one of our restaurants and receives an offer at that exact moment, the customer might think: 'where can you see me?' We do not want that. Instead, one can target larger areas [...] and be relevant based on location, but not at the exact moment the customer is in that situation." - Respondent 2
	Collecting data with a clear purpose	Respondents emphasise that customer data should only be collected when it serves a clear purpose and contributes to customer value.	*"Data must have a greater purpose than just being interesting to know!"* - Respondent 2
			"If we asked whether they like modern or classic style, we would also want to respect that by personalising the communication accordingly. Since we cannot do that, we do not ask for it." - Respondent 7
Building and maintaining trust in loyalty programmes			
	Using data responsibly	Respondents describe trust as connected to data use that appears logical and beneficial from the customer's perspective.	*"You should feel that how we use this data is logical. And helps you as a customer."* - Respondent 8
			"Customers should still feel recognised, but they should not feel overwhelmed by too many messages. They have given us the opportunity to communicate with them and use their purchase history, so if we fail to create relevance, we are not using the data in the right way." - Respondent 9
	Trust linked to firm reputation	Respondents describe trust in data use as connected to	*"I believe that we have a high level of public trust because we are a serious company.*

		broader perceptions of the firm as serious and reliable.	*I also believe that is the first, biggest and most important way to create trust." - Respondent 7*
			"Trust is important. Without trust, customers will not come back. When data leaks occur, they damage trust in the brand. Since we have a strong brand, it would cause major harm if data were not handled correctly." - Respondent 2

Appendix C: Pre-Interview Information Sent to Participants

To give you a clearer picture of the interview in advance, we would like to share a brief overview of the purpose of the study and the themes we plan to cover.

The purpose of our study is to examine how companies use consumer data, especially first-party data, to create personalised marketing within loyalty programmes. By personalised marketing, we refer to tailored communication and offers. We also aim to understand how companies address potential customer concerns regarding how their data is used in this context. When we refer to consumer data, we mainly mean first-party data, that is, data that you collect directly from your customers or members.

The topics we will cover include:

- How you work with first-party data within the loyalty programme
- What value you aim to create for customers through personalisation within the loyalty programme
- How you reason about the balance between the value of personalisation and the risk that the use of customer data may be perceived as too personal or intrusive
- How you reason about which data is appropriate and necessary to collect and use
- How you inform customers about how their data is collected, used, and stored
- What control customers have over their data and preferences
- How you work to create trust in how customer data is used

The interview is semi-structured, which means that we will use these themes as a starting point, while also allowing the conversation to develop based on your experiences and practical work.